

as the *oracle problem*. In the context of smart contract platforms, an oracle is any data source for reporting information external to the blockchain. How can we create an oracle that can authoritatively speak about off-chain information in a trust-minimized way? Many applications require an oracle, and the implementations exhibit varying degrees of centralization.

There are several implementations of oracles in various DeFi applications. A common approach is for an application to host its own oracle or hook into an existing oracle from a well-trusted platform. One Ethereum-based platform known as Chainlink<sup>3</sup> is designed to solve the oracle problem by using an aggregation of data sources. The Chainlink white paper<sup>4</sup> proposes a reputation-based system. We discuss the oracle problem later in more depth. Oracles are surely an open design question and challenge for DeFi to achieve utility beyond its own isolated chain.

## STABLECOINS

A crucial shortcoming of many cryptocurrencies is excessive volatility. This adds friction to users who wish to take advantage of DeFi applications but don't have the risk-tolerance for a volatile asset like ETH. To solve this, an entire class of cryptocurrencies called stablecoins has emerged. Intended to maintain price parity with some target asset, USD, or gold, for instance, stablecoins provide the necessary consistency that investors seek to participate in many DeFi applications and allow a cryptocurrency native solution to